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perhaps the single most successful philanthropic economy in the world—do so in careful consultation with their tax-planners. Even in their generosity, they are careful and calculating. So the state has to motivate such activity through its tax policy, and even provide some delicately constructed loopholes for those seeking to transform their wealth from a darker into a lighter shade.

Above all, there is the question of seeing all this as enlightened self-interest. We can agree that 200 years after 1789, the age of revolutions is over and the age of dreaming about revolution too is mostly over, Nepal notwithstanding. What remains then is a world where societies may not explode, but may still be characterised by social violence, built on the back of gated communities, private security, and a deep paranoia among the haves that goes along with the resentment of the have-nots. In a society like India, where an affluent class has emerged in the past two decades riding the crest of liberalisation, it is a

question of whether a new social contract is now not a pressing necessity. This would not be a contract based on the tricks of the state, but rather on some notion that went beyond mere taxation and redistribution. American conservatives such as Richard Posner have argued that growing income inequality is necessary and even desirable as a condition for a meritocracy. That they can even dare to make such an argument is because they are confident in the existence of other institutions that will counterbalance such inequality. Chief among such institutions is philanthropy. The protagonists of liberalisation in India need to remember that the market cannot exist in a social vacuum, something that would have come as no surprise to Adam Smith over two centuries ago. Giving wisely may be the most sensible way of keeping what's left.

Foundations? The Indian landscape is littered with wrecked higher educational institutions in Allahabad, Chennai, Mumbai or Pune that were once great and which now moulder in the dust. It seems to me that the only answer here in view of the gradual (and perhaps even justifiable) withdrawal of the state is the growth of Indian philanthropy and private patronage of the arts and education. But how is this to happen, the reader will ask? There is obviously no simple solution. But one can help to create the conditions for it. First, it should be understood that philanthropy is not altruism or some sort of Gandhian *nishkama karma*. It is enlightened self-interest and also carries some bragging rights; no one should think that Warren Buffet got his ideas from the Gita. There are many people in India who have more money than they know how to spend. So it is a question of making philanthropy something that is valued. Second, the matter requires some fiscal forethought. Almost all those who give large sums in the US—which is

The author is professor and Doshi Chair of Indian History at the University of California, Los Angeles.

Valuable Lesson

THE US IS THE SINGLE MOST PHILANTHROPIC ECONOMY IN THE WORLD BUT AMERICANS GIVE IN CAREFUL CONSULTATION WITH THEIR TAX PLANNERS.